

4.

CASE #	CASE NAME	HEARING NAME
CVRI2600364	ROJAS VS SWEEPING CORPORATION OF AMERICA, LLC	MOTION FOR ORDER TO DEEM MATTERS ADMITTED REQUEST FOR ADMISSIONS, SET ONE TO DEFENDANT BRIAN CARLTON SIMMONS BY ISMAEL ROJAS

Tentative Ruling: The Court GRANTS Plaintiff's unopposed Motion to for an Order to Deem Matters Admitted, Set One. Each Request in Requests for Admission, Set One, is deemed admitted and all objections thereto waived. Further, Defendant shall pay sanctions in the amount of \$380 (.8 x \$400 + \$60) within thirty days of this Order.

5.

CASE #	CASE NAME	HEARING NAME
CVRI2602517	DIAZ VS UNITED FINANCIAL CASUALTY INSURANCE COMPANY, AN OHIO CORPORATION DBA PROGRESSIVE	PETITION TO COMPEL ARBITRATION

Tentative Ruling: The Court OVERRULES the Plaintiff's evidentiary objections, GRANTS the motion to compel arbitration, and STAYS the remaining claims not subject to arbitration.

Defendant contends that the FAA, 9 U.S.C. §§ 1 et. seq., applies. The FAA generally governs arbitration in written contracts involving interstate commerce. (9 U.S.C. § 2.) To assure uniform results as to arbitrability of disputes subject to the FAA, conflicting state law is preempted under the Supremacy Clause. (*Southland v. Corp. v. Keating* (1984) 465 U.S. 1, 12.) The party claiming that the FAA applies has the burden of proving that the underlying transaction involved interstate commerce. (*Woolfs v. Sup. Ct. (Turner)* (2005) 127 Cal.App.4th 197, 211-214.) Furthermore, the FAA applies when an arbitration agreement expressly states that it is governed by the FAA. (*Aviation Data, Inc. v. Am. Express Travel Related Servs. Co., Inc.* (2007) 152 Cal.App.4th 1522, 1534-1535; *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.)

Here, the arbitration clause in the policy does not reference the FAA, nor does Defendant provide any evidence that the underlying transaction involved interstate commerce. The moving papers merely conclude that the FAA "...governs this dispute at issue." But without support for this assertion, the FAA does not apply.

A. Existence of an Arbitration Agreement

The California Arbitration Act requires the existence of a valid arbitration agreement, before arbitration can be compelled. (CCP § 1281.2) The party seeking to compel arbitration has the burden of proving the existence of such an agreement by a

preponderance of the evidence. (*Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.)

Here, Defendant provides the full insurance policy and the uninsured/underinsured coverage endorsement, both of which contain arbitration clauses. (Declaration of Brian Smith, ¶¶ 3-4, Exhibits A and B.)

The arbitration clause states that if Plaintiff and Defendant cannot agree on the legal liability of the operator or owner of an uninsured or underinsured auto or the amount of damages sustained by the insured, the issue will be determined by arbitration. (*Id.* at Exhibit A, p. 5.)

In opposition, Plaintiff submits evidentiary objections on the grounds of inadmissible hearsay, lack of authentication, and lack of foundation, arguing that Defendant's counsel cannot be the one to offer the policies and arbitration clauses into evidence. While normally these objections would have merit, for purposes of a petition to compel arbitration, it is unnecessary "to follow the normal procedures of document authentication ... [A]s a preliminary matter the court is only required to make a finding of the agreement's existence, not an evidentiary determination of its validity." (*Condee, supra*, 88 Cal.App.4th 215, 218-219 [error to deny petition on ground that arbitration agreement not properly authenticated where signature on agreement not challenged].)

Even so, in reply, Defendant provides a supplemental declaration of Ashley Joseph, claims generalist for Defendant who authenticates both Exhibits A and B. Without any challenge from Plaintiff regarding consent to the terms of the policy, Defendant sufficiently establishes the existence of an arbitration agreement.

B. Waiver

Plaintiff also argues that Defendant's "egregious and uncanny behavior cannot be tolerated" such that it amounts to waiver of the right to compel arbitration. Plaintiff points to counsel for Defendant submitting "inadmissible evidence" and Defendant's actions leading up to this lawsuit (that is, the alleged "bad faith") as support for waiver.

First, the issue of inadmissible evidence is addressed above. Defendant had no obligation to do anything other than attach the arbitration agreement to the motion and then respond once authenticity is challenged by Plaintiff. Even if the objections were to be sustained, such an issue is not sufficient to constitute waiver of the right to compel arbitration.

Second, if accepted by the court, Plaintiff's argument regarding Defendant's bad faith constituting waiver would effectively require the court find that Defendant acted in bad faith as alleged in the pleadings. The court cannot adjudicate the primary allegation of the entire action in a motion to compel arbitration and based on Plaintiff's allegations alone.

Finally, Plaintiff's arguments fail to address the issue of waiver as a defense to arbitration. The right to compel arbitration arises from the parties' contract and, as with

other contractual rights, is subject to waiver. Such waiver may be express or implied from the parties' conduct. (See CCP § 1281.2; *Davis v. Blue Cross of Northern Calif.* (1979) 25 Cal.3d 418, 425.) In determining a waiver, the court can consider whether: (1) the party's actions are inconsistent with the right to arbitrate; (2) "the litigation machinery has been substantially invoked" and the parties "were well into preparation of a lawsuit" before the party notified the opposing party of an intent to arbitrate; (3) a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; and (5) "important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place." (*Quach v. California Commerce Club, Inc.* (2024) 16 C5th 562, 573, 580.) Plaintiff filed this complaint on 4/17/2026 and Defendant filed the instant motion on 7/14/2026. There is no showing that Defendant took any conduct *during this litigation* that would support a defense of waiver.

C. Fraud

Plaintiff also argues she is not contractually obligated to arbitrate because fraud is alleged. Plaintiff states that arbitration agreements can be invalidated by fraud, duress, or unconscionability and argues that because the complaint alleges fraud, there can be no arbitration. Plaintiff confuses the difference between fraud to induce Plaintiff to enter into the contract and/or arbitration agreement rather than allegations of bad faith insurance fraud. Plaintiff's allegations do not accuse Defendant of fraudulently inducing Plaintiff to agree to the insurance contract or the arbitration clause therein. Even so, mere allegations would be insufficient as Plaintiff has the burden to establish any such fraud on this motion to compel arbitration committed.

The arbitration clause here is not unenforceable due to fraud.

D. Unconscionability

Plaintiff argues the arbitration clause is both procedurally and substantively unconscionable and thus cannot be enforced.

If an arbitration agreement satisfies the minimum requirements for validity, as here, it must be enforced unless the party opposing enforcement can prove that the agreement is both procedurally and substantively unconscionable. (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243; *Armendariz, supra*, 24 Cal.4th at 94.) Plaintiff, as the party opposing arbitration, bears the burden of proving unconscionability. (*Szetela v. Discover Bank* (2002) 97 Cal.App.4th 1094, 1099.)

"The procedural element of an unconscionable contract generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it." (*Little v. Auto Stiegler, Inc.* (2001) 29 Cal.4th 1064, 1071 [internal quotation & quotation marks omitted].) "Substantive unconscionable terms may take various forms, but may generally be described as unfairly one-sided." (*Id.* at 1071–72.) "[P]rocedural and substantive unconscionability must *both* be present in order for a court to exercise its

discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (*Armendariz, supra*, 24 Cal.4th at 114 [internal quotation omitted] [italics in original].)

In an unconscionability analysis, “a sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the conclusion that the agreements to arbitrate are unenforceable.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal.App.4th 76, 91.) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.) “Although both elements must be present before a contract or contract provision is rendered unenforceable on grounds of unconscionability, they are reviewed in tandem such that ‘the greater the degree of substantive unconscionability, the less the degree of procedural unconscionability that is required to annul the contract or clause.’” (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.)

i. Procedural Unconscionability

Procedural unconscionability is generally satisfied if the contract was an adhesion contract. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1280-1281, fn. 11.) A contract of adhesion is a standardized contract that relegates the individual with less bargaining strength to either accept the terms as is, with no opportunity to negotiate or to reject the agreement. (*Armendariz, supra*, 24 Cal.4th at 113.) The adhesive nature of a contract establishes some degree of procedural unconscionability. (*Sanchez, supra*, 61 Cal.4th. at 915.) Such contracts in the employment context, in which employees may feel significant economic pressure to agree to the arbitration requirement, show some degree of procedural unconscionability. (*Carmona, supra*, 226 Cal.App.4th at 84.)

Here, Plaintiff argues the agreement is procedurally unconscionable because it is a contract of adhesion. There does not appear to be any ability to negotiate or opt out of the arbitration clause. Therefore, the arbitration clause does have a “take-it-or-leave-it” basis that contributes some procedural unconscionability. But the mere fact an adhesion contract is involved does not per se render the arbitration clauses unenforceable. (See *Graham v. Scissor-Tail, Inc.* (1981) 28 Cal.3d 807, 817; *Armendariz, supra*, 24 Cal.4th at 113; *Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, fn. 4 [adhesive contract is one factor court may consider in deciding degree of procedural unconscionability (finding several other factors contributed to arbitration agreement's procedural and substantive unconscionability)].)

Plaintiff also argues the agreement is procedurally unconscionable because it fails to attach any arbitration rules. But the failure to attach a copy of the rules, by itself, does not render the agreement procedurally unconscionable. (*Baltazar, supra*, 62 Cal.4th 1237, 1246; *Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 691 (“There could be no surprise, as the arbitration rules referenced in the agreement were easily accessible to the parties – the AAA rules are available on the internet”).) It

contributes to surprise only if the rules are found to contain unexpected provisions that limit the scope of the plaintiff's claims or otherwise affect the relief available. (*Baltazar*, 62 Cal.4th at 1246 (distinguishing cases such as *Trivedi v. Curexo Technology Corp.* (2010) 189 Cal.App.4th 387 where the plaintiff's unconscionability claim depended in some manner on the arbitration rules); *Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1470.)

Here, there is no incorporation of AAA or JAMS or specific arbitration service provider rules that would contribute to procedural unconscionability, even if Plaintiff had actually pointed to any specific issues with the failure to attach said rules. Rather, the agreement states, "Local rules of procedure and evidence will apply." (Declaration of Ashley Joseph, Exhibit A, p. 5.) There is no procedural unconscionability based on the failure to attach arbitration rules.

Therefore, Plaintiff has shown a minimal amount of procedural unconscionability based on the adhesive nature of the contract.

ii. Substantive Unconscionability

Substantive unconscionability refers to terms that may be described as unfairly harsh or one-sided. (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071.) "A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to shock the conscience." (*Pinnacle Museum Tower v. Pinnacle Market Development* (2012) 55 Cal. 4th 223, 246.)

In assessing substantive unconscionability, the "paramount consideration" is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.) "[I]t is unfairly one-sided for an employer with superior bargaining power to impose arbitration on the employee as plaintiff but not to accept such limitations when it seeks to prosecute a claim against the employee, without at least some reasonable justification for such one-sidedness based on 'business realities.'" (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 117.)

Here, Plaintiff argues substantive unconscionability because the costs and fees of the arbitrator are to be shared equally. "Courts differ on the validity of the various provisions requiring claimants to pay arbitration fees. Nevertheless, courts agree that those provisions may make the arbitration agreement unenforceable if they deter claimants from vindicating their rights. Indeed, even an arbitration clause that is silent as to who pays costs may be subject to challenge." (*Knight, Chernick, et al.* (Rutter Group, December 2025 Update), Cal. Prac. Guide Alt. Disp. Res., Defenses to Enforcement, Ch. 5-D, § 164.13.) Typically, such provisions are found unconscionable when an employer forces an employee to cover the costs of arbitration, which creates a significant upfront cost to the employee, or where a provision requires the losing party to pay the entire costs. This situation, in the context of an insurance contract where the fees and costs are to be shared equally, is markedly different.

In support, Plaintiff cites *Serpa v. California Surety Investigations, Inc.* (2013) 215 Cal.App.4th 695. But Plaintiff cites a discussion regarding attorney's fees and the recovery of same post-arbitration. (See Plaintiff's Opposition, p. 7:1-8.) This is different than sharing the "costs and fees of the arbitrator" as stated in the arbitration clause at issue here. The agreement does not state anything about attorneys' fees. The Court does not find substantive unconscionability.